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VIKRAM MEHRA
MD, SAREGAMA INDIA



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PUNIT GOENKA
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ENTERTAINMENT ENTERPRISES

28 |

the biggest in the game by a distance. Just check out the numbers. This June, the media rights for television over a five-year period were sold for ₹23,575 crore, with digital at an even higher ₹23,758 crore. In contrast, Sony had paid ₹8,200 crore for the rights (for television, since digital did not exist then) for 2008-2017. To Arvinder Singh, COO of Gujarat Titans, the team that won the 2022 edition, the first three years of the IPL were about the tournament evolving. “The big change was in the fourth [edition] when the focus seriously shifted to cricket played on the field rather than the overall ecosystem of Bollywood and entertainment,” he says. It is so big today that advertisers pay ₹14-15 lakh for a 10-second spot, bettered only by a big-ticket World Cup match involving India. “The IPL is viewer-friendly, intense with an assured, immediate result. That, coupled with the best cricketers, makes it a very compelling proposition for everyone involved with it,” says Arvinder Singh. To his mind, the IPL will only get larger from this point. “The fact is every cricketer wants to be a part of it. There is very little to stop it.”

Regardless of which part of the entertainment world one speaks of, costs have been rising and are unlikely to abate. The challenge is to marry that with a robust return on investment. NV Capital's Menon takes the case of movies and speaks of how the US spends \$150-200 million on a big project, with numbers being substantial even on OTT offerings. “The scale of our movies has risen and that is evident in the instances of *RRR*, *KGF* and *Vikram*. In the US, a well-established studio model like Disney, Universal or Warner means a greater emphasis on production costs and not on talent. In the absence of that in India, talent becomes very expensive,” he explains. That said, Menon anticipates that the success of these big-ticket projects will only propel production houses to

cut larger cheques. An interesting point in that context is raised by Sarkar, who points out that just the top 20 per cent of films get disproportionately high prices. “The other 70-80 per cent will either see a severe correction or could just remain unsold. Earlier, even these average films would find a buyer.” Referring to the 2,000-odd releases each year, he anticipates the number to drop with more focus only on the quality of content.

LOOKING AHEAD

The future, unsurprisingly, will revolve greatly around technology. In music, for instance, Saregama's Mehra is clear on the movement of streaming to a subscription-based model. “We will not be reinventing the wheel while doing so. The world over, over 550 million customers subscribe to music services. There will also be a rise in regional music content and the next wave of digitisation will come from smaller towns with a greater affinity towards content in their own languages,” he predicts.

Zee's Goenka highlights the concept of a personalised experience “in the realm of the metaverse—artificial intelligence, augmented and virtual reality paving the way for delivering [an] immersive experience at a large scale”. That's not all. According to him, consolidation of both studios and digital platforms could take off as companies build content in the battle against deep-pocketed global technology players. “We estimate double-digit CAGR growth for India as well, led by digital, television, films and gaming, among others,” he sums up.

For the entertainment industry, the show has just begun. **BT**

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